

Touches. I prefer to see at least five trendline touches, three on one trendline and two on the other, with all five being minor highs or minor lows (peaks or valleys). Fewer than five touches make correct identification more difficult.

Whitespace. [Figure 10.4](#) shows an identification problem at AB. There are two trendline touches along the top (as minor highs) and four touches as minor lows along the bottom. The pattern *looks* like a descending broadening pattern.

It's not.

See that chunk of whitespace at B? Price doesn't cross the pattern often enough to qualify it as a valid broadening pattern. The inset at C shows that the pattern is better drawn as a down-sloping channel. This chart is an example of cutting off a turn and calling it a descending broadening pattern. Do not tell anyone that you found a broadening pattern after you cut off a turn. What you found was a mistake.

Breakout direction. A breakout occurs when price closes outside the trendline boundary. Breakouts can occur in either direction.

Partial rise or decline. A partial rise, as shown in [Figure 10.3](#), or a partial decline (not shown), is often a clue to the ultimate breakout direction. When price curls around on a partial rise or decline and returns to the trendline, the stock will usually break out immediately (that is, without crossing the chart pattern again).